

PROJECT SYNDICATE DIGEST

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1. Raising Interest Rates Won't Stabilize African Inflation

Author: Célestin Monga

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CAMBRIDGE—African economies began this year facing no shortage of challenges, including lower global demand for their goods and services, unpredictable tariffs and other trade barriers, post-pandemic debt overhangs, structural unemployment, and large net financial outflows. Then the United States and Israel launched their war on Iran, throwing the Middle East into turmoil, halting traffic through the Strait of Hormuz, and compounding inflationary pressures. Now, inflation has reached double-digit rates in some African countries. But the traditional monetary-policy prescription—higher interest rates—will not work to contain it, and might even make matters worse.

To be sure, the International Monetary Fund has recommended monetary tightening, citing high public-debt levels, the risk of “procyclical spending surges” in oil-exporting economies, and the danger of overheating elsewhere. But this advice is analytically unsound, empirically flawed, and strategically dangerous. In fact, monetary tightening would amount to a demand-side remedy for a supply-side pathology.

Africa’s public debt did not arise from consumption. In most countries, fiscal and external deficits do not finance subsidies or excessive recurrent expenditure, but rather critical infrastructure needs and indispensable public services, such as hospitals and schools. These are assets with economic lives of 50 years or more, and productivity multipliers that standard—and short-sighted—debt-sustainability models underestimate.

Above-average growth in countries like Djibouti, Egypt, Guinea, Niger, Rwanda, Ethiopia, Morocco, Ivory Coast, and Tanzania reflects a supply-side expansion—in services, construction, and agriculture—not an unsustainable credit-fueled demand boom. Concerns about “overheating” are thus similarly misguided.

An economy overheats when demand for goods and services significantly outpaces the economy’s ability to supply them, and prices for labor and capital rise, generating demand-pull inflation, which interest-rate hikes can then dampen. But this framework applies in advanced economies with well-functioning labor markets, flexible wages, a capital stock operating near capacity, inflation expectations anchored by a credible central bank, and effective monetary-policy transmission mechanisms. None of these conditions holds for African economies.

Africa’s labor force is predominantly employed in subsistence and smallholder agriculture, the informal economy, and low-productivity services. Because agricultural labor markets are segmented, seasonal, and largely non-monetary in their clearing mechanisms, these sectors are not subject to the wage-setting dynamics that drive demand-pull inflation in industrialized economies. Wage pressure in the formal sector, which accounts for a small share of total employment, does not fuel economy-wide inflation.

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Rising inflation in Africa is predominantly supply-side, cost-push, and structural in nature. As the IMF itself recognizes, it is driven by events beyond Africa’s control, which have raised the prices of goods African countries must buy from abroad, including fuel products, medicines, fertilizers, and food.

Standard macroeconomic theory holds that interest-rate increases work by raising borrowing costs (reducing investment and consumption, thereby cooling demand), tightening credit conditions (compressing spending), and strengthening the exchange rate (attracting capital inflows and lowering the cost of imports). In Africa today, none of these channels is particularly effective.

Start with borrowing costs. Higher interest rates cannot lower fuel or fertilizer prices, let alone resolve the conflict in the Middle East; they will have little impact on the informal urban sector and rural agriculture, which largely operate outside the formal banking system. This includes the smallholder farms providing the food that affects headline consumer price indices, and the informal food traders who set market prices for most African households.

What higher interest rates would do is raise the cost of credit for the small, formal, investable, growth-generating segments of the economy. This would undermine investment—including in critical sectors like energy generation and agro-processing—reducing productive capacity at precisely the moment when supply constraints are generating inflationary pressures.

The exchange-rate channel has some potential in the fight against inflation. But Africa's capital accounts are often partly managed, and capital inflows arrive primarily in the form of foreign direct investment, not interest-rate-sensitive hot money. Moreover, domestic currency movements are determined more by structural trade deficits and global dollar dynamics than by marginal increases in central-bank rates.

A better strategy than monetary tightening would focus on accelerating the structural transformation that the continent badly needs, by channeling finance into productive and employment-creating industries.

To this end, African countries should establish or strengthen national development banks to provide long-term, below-market financing for strategic sectors and crowd in private investment. They should also use targeted credit allocation and refinancing facilities to direct lending toward priority sectors and mobilize domestic savings at scale through public-savings vehicles, sovereign funds, or development-finance institutions. Strict performance conditions and full transparency requirements should be attached to subsidized credit.

Export-credit institutions are also essential, with concessional finance and subsidies tied to measurable performance metrics, such as export targets, to instill discipline and prevent the financial system from succumbing to political patronage. As their economies mature, African countries should gradually recalibrate their financial toolkits, shifting from debt-heavy directed infrastructure credit to venture capital, equity participation, innovation finance, and regulatory sandboxes.

No economy has achieved structural transformation using textbook inflation-targeting and interest rates. Instead, success has depended on financial arrangements that solved coordination failures, financed long-term investment, and accelerated industrial upgrading. That approach, together with the diversification of food-production and energy systems, would go a long way toward strengthening Africa's sovereignty, stability, and prosperity.

2. Developing-Country Risk Is Being Mispriced

Author: Vera Songwe **Published:** Jun 17, 2026 **Link:** [View Original](#)

YAOUNDE/CAIRO—Evidence of markets’ systematic overestimation of risk in developing economies has been piling up for years. The latest addition is the new release of the Global Emerging Markets (GEMs) Risk Database, which shows a sharp disconnect between developing economies’ default and recovery outcomes and prevailing market assumptions.

Investors have long associated developing economies with weak institutions, elevated political and economic risks, and frequent defaults, and have thus demanded large risk premia. When investors say that there are no “bankable” projects in developing economies, they are typically referring less to project quality than to the price of capital.

The new GEMs release—which covers more than 15,000 private-sector loans issued between 1994 and 2024 by 29 multilateral development banks (MDBs) and development finance institutions (DFIs)—upends these assumptions. It found that despite financial crises, commodity shocks, pandemics, and political upheaval, private-sector loans in emerging markets recorded default rates of 3.54%, broadly comparable to the rate for B-rated corporate bonds in advanced economies.

More important, according to the GEMs Database, when defaults occurred, lenders recovered an average of 72.9 cents on the dollar. That is much better than Moody’s global bond benchmarks and, even more so, than JPMorgan’s emerging-market recovery estimates.

The GEMs release also challenges the longstanding assumption that private borrowers in a given country cannot be less risky than the sovereign. In fact, well-structured private projects can “pierce the sovereign ceiling,” offering better credit quality than national ratings suggest. In low-income countries, sovereign ratings put default probabilities at over 31%, but in practice, private firms financed by development banks recorded a default rate of just 7.2%. In other words, while financing conditions reflected the assumption that one in three borrowers would default, the real ratio was closer to one in 14.

When risk is mispriced, and financing conditions are dictated by overly conservative assumptions, capital is misallocated, and the expectation that projects are not “bankable” becomes self-fulfilling. Elevated risk premia push required returns to levels that many productive investments cannot realistically achieve. Projects are labeled unbankable because they fail to fulfill inflated demands.

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The consequences are far-reaching. As critical investments in areas like energy, transport, digital infrastructure, health care, and climate resilience are delayed—even when projects are viable—industrialization, energy transitions, and integration into emerging green and digital value chains suffer. Capital-cost differentials thus translate into development and competitiveness gaps.

The lesson is not that governance, debt sustainability, or macroeconomic stability do not matter, let alone that all developing-country investments are low-risk bets. Risk differentiation remains essential. But the aggregate evidence suggests that prevailing pricing practices often overstate risk, particularly for private-sector investments supported by

DFIs. In fact, support from MDBs and DFIs materially improves outcomes, through effective project selection, supervision, governance standards, and risk mitigation. Pricing methodologies and regulatory frameworks should account for these institutions' support.

Changing financing methods is no easy feat, as they are embedded in regulatory systems, investment mandates, and benchmark frameworks. But the costs of this inertia are high—and borne largely by developing economies. With the data now available, and the gap between assumptions and observed outcomes quantifiable, action should be taken on four fronts.

First, rating agencies should revisit the sovereign ceiling in markets where MDBs and DFIs play a significant role. A systematic review of how sovereign ratings influence private-sector credit assessments is overdue. Similarly, prudential regulators should review capital requirements for developing-country lending, recognizing the risk-mitigation benefits of MDB and DFI participation.

Third, institutional investors must update their internal risk models. As it stands, pension funds, insurers, and sovereign wealth funds often limit their exposure to developing-economy private credit. Incorporating expected-loss data that account for observed default and recovery rates could unlock substantial investment.

Finally, developing economies must continue addressing genuine sources of risk. Strengthening macroeconomic management, improving debt sustainability, enhancing contract enforcement, developing local capital markets, and creating stable regulatory environments remain essential to attracting long-term investment.

The G7, the G20, MDBs, regulators, institutional investors, and developing-country governments should treat these tasks as a systemic reform agenda, rather than a technical adjustment. This is not a request for more aid or larger concessional resources. It is a demand for capital-pricing frameworks that reflect evidence, rather than inherited assumptions.

While reforming risk assessments alone will not eliminate the global development financing gap, it could go a long way toward narrowing it, without requiring additional public resources. It would also improve the allocation of global savings and unlock productive investment at scale. Pricing capital more accurately is not simply a matter of fairness. It is a matter of efficiency, growth, and development.

3. How (Not) to Conserve Tropical Forests

Author: Bård Harstad **Published:** Jun 19, 2026 **Link:** [View Original](#)

STANFORD—Six months after last year’s United Nations Climate Conference (COP30), the Tropical Forest Forever Facility (TFFF) has gone from being a headline-grabbing promise to a test of whether climate finance can survive contact with markets, politics, and time.

The TFFF’s purpose—conserving tropical forests—is of paramount importance. Tropical deforestation and land-use changes have contributed to nearly one-fifth of the world’s cumulative carbon dioxide emissions since 1850. Tropical forests are also among the world’s most biodiverse ecosystems and home to many Indigenous Peoples and local communities.

But tropical countries face opportunity costs when conserving forests, so it falls on northern countries to compensate them for conservation efforts that benefit everyone. Such was the reasoning behind the Brazilian COP presidency’s TFFF proposal.

Within the TFFF is a Tropical Forest Investment Fund (TFIF) that seeks to raise \$125 billion, part of which will be invested in emerging and developing economies. The hope is that, with sponsor capital, guarantees, and a high credit rating, investors will be satisfied with a return of, say, 5%. If the portfolio return is 8%, the difference could be used to compensate countries that have conserved their tropical forests. Depending on the actual return, each eligible country would receive up to \$4 per hectare of qualifying standing forest. But the area used to calculate the payment would be discounted for forest loss: each hectare deforested would reduce the payment base by 100–200 hectares, while each hectare of fire-degraded forest would reduce it by 35 hectares.

So far, the TFFF has raised only \$6.7 billion. Although Norway, Germany, France, and others (the facility’s financial arm will be hosted in Luxembourg) are working on raising additional financial support, the main concern is that the scheme is unlikely to succeed. After all, there is no “free lunch” in international capital markets. To satisfy investors and simultaneously retain money for alternative purposes is a tall order.

Moreover, governments in tropical countries may not be so motivated to conserve, because the sum of the compensation they can expect is uncertain and may not even arrive while they are still in office. Future governments could even reverse the decision to conserve, and with no other consequence than forfeiting future compensation. For these and other reasons, economists have criticized the scheme, and several potential donor countries, such as the United Kingdom, have been skeptical of it.

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Fortunately, there are better alternatives. In 2022, Chile and Uruguay issued sovereign sustainability-linked bonds (SLBs) whose interest rates are linked to whether certain performance targets are met. For Uruguay, one of the targets is forest conservation: If less is conserved, the coupon steps up; if the target is exceeded, the coupon steps down. Similarly, a sustainability-linked loan (SLL) can tie the future interest rate, and even the maturity date, to success in forest conservation.

In this way, SLBs and SLLs can motivate future governments to continue their predecessors' conservation efforts. Such instruments therefore address the classic time-inconsistency problem. This problem is not merely theoretical. Brazil's presidential election this October could well usher in a new government that would not prioritize conservation at all.

SLBs and SLLs also offer several benefits besides political robustness and time consistency. For example, the government receives the loan up front, so it won't discount the payment because of lags or uncertainty. No wonder these instruments are increasingly popular. Thailand issued SLBs in 2024, and Slovenia followed in 2025. Their bonds differ in several ways, but both tie yields to whether sustainable performance targets are met.

To promote tropical forest conservation, the design of SLBs and SLLs can and should be further improved. For example, the coupon adjustments could be larger, and they could vary proportionally with the outcome. The maturity could be longer, and the primary bond buyers should be donor countries and institutional investors rather than private investors. To reduce the risk of selective default, the instrument should include standard sovereign-debt protections. With improvements such as these, the motivation to conserve will be strengthened, and greater sums can be mobilized.

The upshot is that there are financial structures that can both compensate and motivate tropical countries to conserve forests. Thus, the real risk with the TFFF is not that it will fail to raise funds. It is that it will fail to conserve forests, thus discouraging northern countries from investing in tropical forest conservation in the future.

That would be a tragic outcome when better alternatives exist. The global value of tropical forests far outweighs the opportunity cost of conservation, but that won't matter if we cannot get the incentives right.

4. Questioning the Just War Doctrine

Author: Richard Haass **Published:** Jun 19, 2026 **Link:** [View Original](#)

NEW YORK—Pope Leo XIV is convening an extraordinary “consistory”—a gathering of the College of Cardinals—in late June at the Vatican. One of the four scheduled sessions will be devoted to the “just war” doctrine.

This emphasis is hardly new. The Catholic Church has sought for nearly two millennia to provide guidance about when war is justified (*jus ad bellum*) and the right way to fight one (*jus in bello*). The goal was, and remains, to limit the frequency of warfare and its toll.

Leo has twice spoken on the subject in recent weeks. In *Magnifica Humanitas*, the encyclical on artificial intelligence that was released last month, the pope questioned the essence of just war theory. “Today, more than ever, without prejudice to the right to self-defense in the strictest sense, it is important to reaffirm that the ‘just war’ theory, which has all too often been used to justify any kind of war, is now outdated. Humanity possesses far more effective and capable tools for promoting human life and resolving conflicts, such as dialogue, diplomacy and forgiveness.”

Then, in early June, the pope returned to the theme, telling a group of journalists, “The notion of a just war no longer applies. The problem is that just war theory developed in centuries when no one could have imagined the weapons we have today or humanity’s capacity for destruction.”

These comments strongly suggest that Leo is seeking to limit the scope of just war to self-defense, such as the war Ukraine is fighting against Russia. I expect he has been heavily influenced by recent history. The 2003 US-led war against Iraq, Hamas’s October 2023 attack on Israel, elements of Israel’s response in Gaza, Russia’s invasion of Ukraine, and the US-Israeli war against Iran were all wars of choice that would not be considered “just” in design, execution, or both.

To be just, a war must be fought for a worthy cause, judged as likely to succeed, authorized by a legitimate authority, and undertaken only as a last resort. Just wars must be conducted in a manner that uses no more military force than is necessary (the proportionality standard) and respects the safety of noncombatants.

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This guidance is meant to influence the thinking of the 1.4 billion Catholics around the world, individuals and leaders alike. But it is also meant to influence policy and policy debates more broadly.

It turns out that determining what should constitute a just war is easier said than done. It is widely agreed that preemptive military intervention against imminent attacks is covered under the definition of self-defense. More controversial are preventive attacks to avert gathering but not yet imminent threats. The fear is that a world where preventive wars were seen as legitimate would become a world of frequent conflict.

But what is to be done when the means of war are being produced or acquired by an enemy, and there can be no certainty of sufficient warning to act before those means are used? Some Americans argued this fear justified the 2003 invasion of Iraq. Many Israelis argued the same in the case of Iran last year and again in recent months.

So, what makes for a worthy cause? And how much risk should a country take in not resorting to force if the penalty for being wrong could mean thousands of its own citizens being killed?

Determining what constitutes a worthy cause can be difficult. At what point does stopping repression of a population (not to mention genocide) justify the proper use of military force? When does inaction become unjust?

Then there is the question of what constitutes a legitimate authority. The United Nations often fails to endorse or condemn wars, because one or more veto-wielding permanent member of the Security Council blocks collective action. Russia and China, for example, refuse to condemn Russia's invasion of Ukraine.

Years earlier, Russia prevented UN approval of military action against Serbia when there was evidence it was committing ethnic cleansing against Kosovar Albanians. Did the fact that NATO blessed the action make it any less legitimate?

Adding to the complexity is the reality that popular approval of a war does not make it legitimate—even when the country's constitutional practices are followed. A leader calling for war may be acting out of domestic political or personal interest rather than principle.

Much of just war theory is a matter of judgment. I have no doubt that Russian President Vladimir Putin expected success when he decided to attack Ukraine, as did US President Donald Trump and Israeli Prime Minister Benjamin Netanyahu when they went to war against Iran. Obviously, they were wrong.

But any leader about to initiate a war expects success. And wars are inherently uncertain, which makes this long-standing requirement close to meaningless.

Questions about how force should be used are equally complex. A new question concerns when and how to respond to potentially devastating attacks carried out through non-military means, such as cyberattacks or, in the future, AI-enabled attacks designed to cripple a society. What constitutes proportionality in such cases?

Likewise, just war theory emphasizes not attacking civilians. But what is to be done when countries or non-state actors (such as Hamas in Gaza) hide fighters and weapons in schools or hospitals? Leo has gone on record criticizing attacks on such sites, but to rule them out invites the use of civilian sites as military sanctuaries. This would be untenable, which again raises the question of what practical guidance the church is prepared to offer.

With war becoming more frequent and more lethal to civilians, it is understandable that Leo and the Cardinals are wading into the debate over its legitimacy. They will be frustrated, though, if they rely on the Church's traditional criteria for useful guidance. The best outcome of the consistory would be to authorize an overhaul of the just war doctrine for the modern era—and to ask the necessary questions.

5. To Avoid Climate Peril, the World Must Electrify

Author: Murat Kurum **Published:** Jun 22, 2026 **Link:** [View Original](#)

ISTANBUL—The cascade of shocks to the global economy over the past few months has offered a glimpse of our new reality. The Gulf conflict has taken an extraordinary—and dangerous—amount of oil, gas, and fertilizer off the market, and now a possible “super” El Niño cycle could bring more extreme weather. That means this year’s United Nations Climate Change Conference—COP31 in Antalya, Turkey—will come just as millions of people have been pushed deeper into energy and food poverty, forced to suffer truly terrible conditions as they endure more severe natural disasters.

These perils underscore the danger of continuing to depend on imported fossil fuels. Around 80% of the global population lives in countries that remain net importers of fossil fuels, and we have just witnessed how vulnerable this reliance leaves our economic security. Around the world, but especially in developing countries, the prices of essentials have spiked, financial conditions have deteriorated, and debt distress has spread.

This latest global crisis further reinforces the need for cleaner, more resilient sources of energy. Three years ago, at COP28 in Dubai, governments agreed that we need a just, orderly, equitable transition away from fossil fuels. This year, we must map that high-level vision into a day-to-day reality.

To that end, my goal as president-designate of COP31 is to spark a global conversation about electrification. We must move from abstract debates to address the real decisions that ordinary people face. Think of the family considering whether to buy an electric car; the landlord installing solar panels, batteries, or heat pumps; the city planner investing in electric buses; or the paper producer electrifying its heating process.

This topic is critical, because while 45% of global direct emissions come from buildings, transportation, and industry, only around 20% of energy demand is met by electricity rather than direct fossil fuels. Thus, one of our core objectives at COP31 will be to forge an agreement on how everyone can contribute to a new global electrification target of 35% by 2035 as part of our Action Agenda.

These targets are not pulled out of thin air. The data show that they can be reached if policymakers heed the assessments by the International Energy Agency and the International Renewable Energy Agency of the steps needed to limit global warming to 1.5° Celsius above pre-industrial levels, as set out in the Paris agreement. That overarching ambition is now over a decade old, and this new target is an important stepping stone.

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But simply electrifying daily life is not enough. We also must rapidly scale up renewables, so that electrified economies are powered by clean energy. We need expanded and resilient grids to manage the new load. And we need more financial support for developing countries to bring them along.

Previous COPs have set targets for each of these needs. At COP28, everyone committed to tripling the world’s renewable-power capacity by 2030. At COP29 in Baku, 74 countries recognized the need to boost energy-storage capacity sixfold, and to add or refurbish 80 million kilometers of grids by 2040. And donors committed to mobilizing at least \$300 billion annually by 2035 for developing countries.

All these targets matter. Together, they form the architecture for the energy transition. They send strong market signals and provide a shared basis for rallying global collective action in a fractured world. They are meaningful precisely because they are “stretch goals”—ambitious but achievable.

In 2026, two additional developments give us hope. The first is the extraordinary collapse in the costs of essential ingredients like batteries and solar panels. Owing to this trend, Turkey has now provided permits for more battery storage than any EU member.

Second, historic events like the war in the Gulf can lead to historic movements, as the 1970s oil crises did by driving unprecedented energy-efficiency gains. The current crisis has unleashed powerful market forces that we can harness, at COP31 and beyond, to accelerate electrification.

There is no one-size-fits-all model. Each country will make a different contribution, and each sector will map out its own pathway. Africa’s challenges and opportunities are not the same as Europe’s. Electrifying transportation is not the same as electrifying industrial processes and buildings. No one can or should try to impose solutions on anyone else. But everyone must recognize that electrifying daily life is how we move away from fossil fuels. It is how we can make these volatile commodities superfluous. And it is how we can shield families from the effects of spiraling energy prices.

We will use the convening power of the COP presidency to focus minds, forge stronger partnerships, and move into implementation mode. Our world is in peril, and electrification is our salvation.

6. Will AI Yield Abundance Without Purpose?

Author: Carl Benedikt Frey **Published:** Jun 22, 2026 **Link:** [View Original](#)

OXFORD—In Kurt Vonnegut’s 1952 novel *Player Piano*, machines have automated most industry, leaving just a few engineers and managers to oversee things. Everyone else is fed and housed by the state, with nothing to do.

Was Vonnegut prescient? Whether AI will render a large share of the workforce redundant is of course unknowable. But we do already know that AI poses challenges in two critical dimensions of human flourishing: happiness and meaning.

In terms of happiness, automating much of our work should make us richer, on average, and that should lead to higher life satisfaction. Research finds that doubling your income lifts how you rate your life by a similar amount, whether you are rich or poor. The challenge that AI poses here is about redistribution.

Meaning is different. As Betsey Stevenson of the University of Michigan shows in her analysis of the cross-country evidence, reported meaning and purpose do not track income growth the same way. Work supplies more than money. Joblessness harms mental health even when incomes are fully replaced. Alongside a paycheck, work offers structure and a sense of belonging, status, and contribution. These attributes cannot easily be redistributed.

In fact, AI threatens meaning in at least three ways. To undermine your sense of purpose, AI does not have to be better than you, only functionally adequate and cheaper. It is one thing to be surpassed by something truly extraordinary; it is another thing to be made irrelevant by something merely good enough.

Moreover, AI-powered entertainment and companionship could capture enough of people’s time and social appetite to displace the more challenging activities that generate meaning. By offering a frictionless sense of connection, AI could crowd out the effort—the obligations, reciprocity, selflessness, and inconveniences—that real relationships require. AI companionship asks nothing of us. It is consumption dressed up as connection.

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Digital life has already reshaped human connection, and not always for the better. Across the OECD, face-to-face interaction has declined and heavy social-media use tracks lower well-being among the young. None of this is AI’s doing (yet), but it does suggest that easier digital connection does not reliably deepen the human variety. Convenience tends to win out, even when people know that the alternative is better for them.

Lastly, meaning is rarely produced from a state of comfort. It comes from effort in the service of a chosen goal, be it raising a child or mastering a craft. What people value, in retrospect, is not ease but having struggled toward something that mattered. If AI removes friction at scale, it may remove one of the raw materials from which meaning is made. This may explain why richer societies report more comfort without more purpose.

True, not all work will disappear even if AI exceeds human capabilities. Humans did not stop playing chess when computers surpassed them. People still run, cook, make music, build furniture, and pay a premium for live performances. Meaning comes from competition, mastery, and self-expression within human-scaled constraints, not from generating optimal outputs. The value of human effort can grow even as human performance declines.

But this principle has limits. It works where activities are social, embodied, and have a tradition of amateur practice, but not where meaning has come entirely from professional prestige or economic necessity. Chess was always a game even if some made it a job; the same cannot be said for back-office accounting. Moreover, even where meaning may survive, it will live in the process rather than the result. Before the 2025 Open Championship, Scottie Scheffler said that winning a golf trophy is gratifying but fleeting (“awesome for two minutes”). The daily work of mastery is what confers a more enduring sense of meaning.

A common, reassuring refrain from AI boosters is that the meaning problem will solve itself: If AI gives us more time, we will become more rooted in family, place, and community, the way people were before industrialization bundled meaning into paid employment. Perhaps that will be true for some people. But preindustrial rootedness was sustained by conditions—low mobility, kinship obligations, religion, local necessity—that were often constraining and sometimes oppressive. We should not wish them back, nor would they reappear automatically with mass leisure.

Material abundance alone does not recreate the structures from which meaning was once drawn. Consider Sweden. It combines a robust welfare state and very high life satisfaction with an unusually large share of single-person households and evidence that younger adults have less meaning in their lives than older ones.

Of course, some meaning will emerge organically. But the question is whether it will be felt broadly enough to replace what work once supplied. There is little reason to assume so. Higher incomes can reduce stress, but they do not necessarily produce a role that others depend on, a community that notices your absence, or a challenge worth struggling with. Those require functioning traditions of participation and institutions that sustain it.

The institutions that once provided sources of meaning—unions, professions, churches, schools, civic associations—were built over time, through a mix of local initiative and public support. The same will be true of what comes next. We can think of it as meaning infrastructure: the institutions through which people find roles, recognition, and a sense of being needed.

What makes such institutions durable is not goodwill but a simple principle: prestige should follow performance. Show up reliably and you earn a voice. Master a craft and you earn recognition. Mentor others and you earn status. Take responsibility for a shared task and you earn authority.

Far from ending the competition for status, abundance would merely redirect it. This new competition would then need to be civilized, such as by expanding what counts as a contribution worth honoring. How this happens will differ from place to place. Societies with strong families, dense civil institutions, and high social trust will find it easier; those without will have to build from less. But the challenge would be the same everywhere, and no amount of abundance would solve it.

7. Turning Latin America's Resilience Into Growth

Author: Ilan Goldfajn **Published:** Jun 23, 2026 **Link:** [View Original](#)

WASHINGTON, DC/BUENOS AIRES—In recent years, Latin America and the Caribbean (LAC) have shown that development increasingly rests on the twin pillars of resilience and growth. But while the region has shown a remarkable amount of the former, the latter has remained stubbornly slow.

Over the past six decades, the LAC region grew at an average annual per capita rate of just 1.8%, whereas emerging Asia grew at more than twice that pace. In short, the region has a productivity problem. Despite accumulating capital, expanding its workforce, and increasing years of schooling during this period, total factor productivity (the efficiency with which those inputs are used) recorded essentially no growth.

To its credit, the region has largely done the hard work of stabilization. Inflation is down in most countries. Fiscal frameworks are stronger than they were a generation ago, while macroeconomic credibility has been painstakingly built over decades. Poverty has declined, owing in no small part to the social policies that fiscal stability made possible. For a region with a long history of inflationary spirals, debt crises, abrupt devaluations, and stop-go cycles, these are significant achievements.

But stability is a platform, not a destination. Growth is the bridge that turns these hard-won gains into higher living standards. Stability enables investment, which drives productivity; and productivity-driven growth expands opportunities and reduces poverty, while also creating the fiscal space that governments need to increase social spending and implement further reforms.

The region's governments, facing high debt levels and limited political tolerance for another round of adjustment, cannot spend their way to growth. And multilateral development banks and bilateral lenders cannot make up the shortfall. While public resources and development finance are important, what matters most is the much larger pool of private capital they can unlock.

The challenge, then, is to use public policy more effectively to catalyze private investment. That means creating the conditions to attract long-term capital: clear rules, credible contracts, reliable infrastructure, regulatory predictability, and a government that can address market failures when necessary. With sustained private investment, LAC economies will be better positioned to absorb technology, generate exports, and create good jobs at scale—in other words, to create a growth engine.

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The region's unfinished transition to a competitive productive base despite strengthened macro frameworks has come at a high cost. According to a 2025 report from the Inter-American Development Bank (IDB), if the region's product markets were as competitive as those in advanced economies, GDP would be roughly 11% higher and inequality 6% lower. Weak competition is not just a source of inefficiency; it is the main culprit behind stagnant LAC productivity.

Addressing this gap requires not only adopting the right policies, but also taking a holistic approach: identifying constraints, sequencing reforms, and aligning the necessary financing, regulation, infrastructure, and institutions around a

concrete growth goal. To that end, the IDB recently launched LAC Crece, a platform that helps the region's governments design growth strategies based on three principles.

First, not all constraints are equally important. Countries fail to grow because a few critical bottlenecks have gone unaddressed for too long. The challenge is to identify what, exactly, is holding back investment at this particular moment.

Second, sequencing matters: successful growth strategies do not try to change everything at once. They are selective, cumulative, and coherent.

Lastly, windows of opportunity are rarely open for long. When a new administration, a reform coalition, a gain in credibility, or a favorable external environment creates an opportunity to move, speed is crucial. In LAC countries, inaction has often been mistaken for prudence; in fact, it has delayed much-needed reforms.

Growth commands broad support across ideological lines, because no government can finance its political agenda without a dynamic economy. This suggests that LAC countries would do well to develop growth strategies that are anchored in actual constraints, selective about priorities, and realistic about state capacity and delivery. By creating the conditions for private investment, these plans can translate macroeconomic gains such as lower inflation and better balance sheets into higher productivity, sustainable growth, and persistent, visible gains in living standards.

As supply chains reorganize around energy security and technological resilience, the LAC region is better positioned than most: it has the critical minerals, food-production capacity, and renewables potential that the changing global economy demands. A well-sequenced growth agenda can turn this opportunity into broad-based, lasting development, rather than just a commodity windfall.

Stabilization efforts have provided LAC countries with the macro credibility and institutional capacity to achieve inclusive growth. Now they need to build the strategic framework that will enable them to achieve this goal.

8. The World Cup vs. the Extremists

Author: Daron Acemoglu **Published:** Jun 23, 2026 **Link:** [View Original](#)

BOSTON—When the German soccer player Deniz Undav scored two late-game goals to clinch a 2-1 victory for his team over Ivory Coast, you would have been hard-pressed to find many German fans who did not see him as a national hero. Few cared that the Turkish-Syrian son of Kurdish Yazidi parents did not look classically German. He delivered an exhilarating triumph for the German side, demonstrating why the beautiful game commands a wider global viewership than any other sport.

Undav also represents a rebuke to the obsessions of both the hard right and the hard left. He and the rest of the German squad are living proof that people with very different origins and appearances can be woven into a shared enterprise that becomes a source of collective pride. They show that loving one's country (something that is often caricatured or seen as unfashionable on the left) and welcoming newcomers (which the far right abhors) are not incompatible impulses.

That lesson is hardly confined to the German team. The World Cup, even when it is not being jointly hosted by three countries, consistently puts ethnically mixed squads in front of billions of fans. Every serious contender is fielding some players whose families arrived only a generation or two ago, and almost every one of them is inspiring an outpouring of joyful patriotism.

The combination of diversity and national pride is precisely what the political extremes insist is impossible. Across much of the industrialized world, mainstream politics has become consumed by anxieties about the arrival of culturally and ethnically different peoples and the supposed discord such immigration brings. Ideas once confined to dark corners of the internet—such as the “Great Replacement” theory and calls for “remigration”—are now being aired and debated in respectable forums. A recent YouGov poll finds that 45% of Britons, 50% of Danes, 51% of the French, 53% of Germans, 51% of Italians, 52% of Poles, and 46% of Spaniards would support a scenario in which immigration is stopped, and many recent migrants depart.

To be sure, there is no evidence that the harshest hypothetical scenario, in which immigrants are forcibly expelled through a process resembling ethnic cleansing, would have much support, and the wording of the question may be inflating softer concerns. But even with such caveats, there has been a striking reversal from a decade ago, when the public in many of the same countries welcomed those fleeing war in the Middle East.

Much of the left, meanwhile, has traveled in a different but still troubling direction by looking at every issue through the lens of oppressor and oppressed. Under these crude terms, Western countries are always the villains, and patriotism is viewed with suspicion or disdain. This shift is reflected in polling data. According to Gallup, the share of US Democrats reporting “extreme pride” in being American fell from more than 60% in the early 2000s to just 22% in 2019 (though it has recovered somewhat since then).

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Much of this collapse coincided with Donald Trump's first presidency, suggesting that it may reflect disaffection with those in power rather than a principled rejection of the US. Yet the deeper trend is unmistakable. It is no secret that talk of national pride has become deeply embarrassing—if not enraging—to many on the left.

This is a troubling trend because without the buttress of shared identity, national politics are less likely to coalesce around policies designed to support those who are losing out. That includes workers without a four-year college degree, an ethnically diverse cohort that has been struggling against downward mobility for several decades throughout the industrialized world.

Of course, professional athletics is not a perfect mirror of society. A national squad is a small, lavishly resourced, intensely managed group united by a single unambiguous goal. Creating a winning team is not the same as integrating large populations into housing, schools, and labor markets.

Nor is integration in sports as frictionless as the cheering suggests. England's Black players were deluged with racist abuse after losing the Euro 2020 final; France's "Bleus" are perennially dragged into arguments about who counts as truly French; and the US has an ugly history of racism in many sports. Integration may be celebrated by the many, but the retrograde minority is loud and disproportionately influential in an era of algorithmically powerful extremism. In that sense, sports replicate the pattern we see in society.

The World Cup does not prove that integration is easy. But it does confirm what the extremists want to deny: ethnic integration and patriotic pride routinely coexist. Most fans who are watching their multiethnic team carry the national flag are experiencing both without giving it a second thought.

If activists on the hard right and the hard left could climb down from their high horses long enough to watch a few matches, they might rediscover what the rest of us already know: when integration and national pride go hand in hand, the outcome, more often than not, is a winning combination.

9. Trump's Un-American Capitalism

Author: Joseph E. Stiglitz **Published:** Jun 24, 2026 **Link:** [View Original](#)

NEW YORK—President Donald Trump claims that electing “socialist” Democrats would put the United States on the path to becoming Venezuela or Cuba. But Trump’s own actions, as is often the case, fly in the face of what he says and what his Republican Party supposedly stands for. Far from continuing to champion capitalism and free enterprise, Trump’s GOP no longer supports either.

What has distinguished American-style capitalism is strict private ownership of firms. Under Chinese- and Russian-style capitalism, the government owns seemingly ordinary firms through corrupt arrangements that ultimately serve political leaders and their cronies—a system bearing little relation to the kind of economy that one studies in an introductory economics course. But now, the US is on the same path as Russia and China.

I have long argued that there is more scope for government intervention in the US economy through industrial policy, and that regulation is needed in many areas to align private interests and the public good. But I have always argued that such interventions must be institutionalized, following impersonal, transparent processes that avoid even the appearance of political favoritism.

The Republican Party, by contrast, has tacitly endorsed Trump’s thuggish capitalism, a model nothing like the rules-based market economy that conservatives used to endorse. It is thus no surprise—but very worrying—that the Trump administration is reportedly in discussions that could lead Anthropic, OpenAI, and other AI firms “voluntarily” to cede “shares to the government,” just as Putin has “voluntarily” received support from Russia’s oligarchs.

From Russia and China to Saudi Arabia (where wealthy elites were detained in the Riyadh Ritz-Carlton for three months in 2017-18, until they handed over sufficient shares in their holdings), businesspeople have learned not to challenge the government. Alibaba founder Jack Ma and former Russian oligarchs like Mikhail Khodorkovsky and Boris Berezovsky can attest to that.

Trump may not go to the same extremes as Putin or Xi, but his basic approach is the same. His administration’s treatment of Anthropic is reminiscent of how the Chinese government dealt with Ma when he dared to criticize regulators. After suddenly slapping an export ban on Anthropic’s most advanced tools earlier this month, the administration is holding new “discussions,” presumably to extract additional concessions from the country’s fastest-growing AI lab.

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The administration already took decisive steps in this direction last August, when it demanded that Nvidia and AMD give the US government a 15% cut of their sales to China in return for lifting export bans. In this case, Trump openly traded national security (the purported justification for the bans) for a few billion dollars of extorted revenue. Less than two weeks later, Intel “voluntarily” gave the government a 10% stake in exchange for financial support that it was already supposed to receive under the CHIPS and Science Act, enacted in 2022.

Meanwhile, in response to the growing public demand for AI regulation of some kind, Trump recently signed an executive order calling for AI developers to subject themselves to regulation in limited contexts. But the text of the

document clearly reflects the influence of tech oligarchs like Mark Zuckerberg and Elon Musk. For example, it states explicitly that: “Nothing in this section shall be construed to authorize the creation of a mandatory governmental licensing, preclearance, or permitting requirement for the development, publication, release, or distribution of new AI models, including frontier models.”

Administration officials claim that these moves toward state capitalism will ensure that everyone benefits from AI. But if that was really the goal, they would support taxes on corporate profits, which exist to ensure that the benefits of economic activity are shared, in recognition of the fact that corporations themselves have benefited from public goods. Instead, this administration has undermined corporate taxation. In the 1970s, taxes on corporate profits generated revenues equal to 2.6% of GDP, whereas today they raise only half that, even though corporate profits as a share of GDP have almost doubled.

In any case, for anyone who thinks Trump and his cronies are acting out of concern for the average American, I have a bridge in Brooklyn to sell you. This is the most corrupt administration in US history—by orders of magnitude. Nothing this government does is above board. Every stake it takes in the private sector is driven by favoritism or senior officials’ personal investments, and the resulting economic distortions will only continue to mount.

The GOP’s brand of capitalism has far-reaching implications. First, and most importantly, it undermines democracy, moving us ever closer to oligarchy, where politically connected elites determine policy. Second, it also undermines American prosperity. A core insight from modern economics and economic history is that strong institutions, including the rule of law, are essential to achieve sustained improvements in living standards.

Trump’s thuggery is the antithesis of the institutional foundation on which the US economy was built. The winners in the new oligarchic competition are not those who make the best products or are the most innovative (in terms of AI, that title would seem to belong to Anthropic at the moment). Rather, it is those who are the least principled, and the best at flattering the mad king. Is anyone surprised that Sam Altman, the CEO of Anthropic’s flailing competitor, OpenAI, first pitched the idea of government shares to the Trump administration?

The government has legitimate reasons both to promote nascent industries and to regulate those where private profits could be misaligned with the public interest—as is manifestly the case with AI. But these market interventions must adhere to the rule of law and submit to oversight from independent institutions, rather than being conducted through opaque, ad hoc self-dealing.

With Trump at the helm, America is doomed to join all the other countries suffering under crony capitalism, rather than those that have demonstrated what a successful industrial strategy looks like. Its economy, democracy, and national security are all being sacrificed to satisfy the bottomless cupidity of Trump and his flatterers.

10. How Trillionaires Are Really Made

Author: Nabil Ahmed **Published:** Jun 24, 2026 **Link:** [View Original](#)

WASHINGTON, DC—Following SpaceX’s IPO this month, Elon Musk’s fortune comfortably exceeds \$1 trillion. The significance of the world’s first trillionaire cannot be overstated. Musk’s wealth, which has been rising by more than one million dollars per minute over the past year, is now greater than that of nearly four billion people combined—or 46% of the global population.

In 2017, my team at Oxfam predicted that the world would see its first trillionaire minted within 25 years. In 2024, we conservatively revised our estimate to less than a decade, inspiring fretful headlines. But the speed of wealth concentration has surprised us all, raising questions about whether democracy can be preserved amid such yawning inequality.

Some may argue that the world’s first trillionaire is a story of technological triumph and a win for American capitalism. To be sure, powerful space rockets that can return to Earth are awe-inspiring, and Musk’s firms have made huge contributions to satellite internet and electric vehicles. But the narrative that SpaceX investors are solely rewarding engineering prowess is a fiction. Markets have not bet on cutting-edge technology or even a company too big to fail, but rather on the idea of a mega-monopolist whose wealth and influence are so vast that the US government will not allow him to fail.

Recognizing how Musk’s status is inextricably tied to government backing is crucial to understanding and redressing wealth inequality—and not only in the United States. It is, on one level, a byproduct of a billionaire US president’s economic agenda. Donald Trump’s 2025 One Big Beautiful Bill Act marked the largest wealth transfer from the working class to the ultra-wealthy in recent history. Safeguards against corporate overreach, like the Consumer Financial Protection Bureau, are on life support.

In his former role as head of the Department of Government Efficiency under Trump, Musk dismantled government agencies and slashed aid to the world’s poorest. This could lead to an estimated 700,000 deaths annually by 2030. Meanwhile, the administration has bolstered Musk’s position: awarding new contracts to his companies, halting investigations into them, and loosening regulations that constrained them.

The result is a perilous public-private entanglement, with the state running on hardware and data provided by Musk’s companies. Consider how vital Starlink has become for the US government’s connection to low-Earth-orbit communications. The reliance by the US military and space complex on Musk’s empire implies significant leverage over the state.

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But such dependence is not built overnight. Musk’s power may have culminated under Trump, but it was cultivated over decades. A trillionaire is a bipartisan creation. Musk has been able to extract public subsidies to secure market dominance, with his companies receiving some \$38 billion from several administrations. President Barack Obama, for example, helped create Musk’s apparent “monopoly on space.” The origins and continued existence of Tesla and SpaceX

depended on federal and state support. But while US taxpayers assumed the risk, they received no equity, profit-sharing, or affordability guarantees.

The minting of a trillionaire demands a reckoning with extreme inequality. Every country should learn from how the US political system has enabled Musk's rise. That includes a pro-billionaire tax code under which Tesla and Musk have paid almost nothing in federal income taxes for years; an antimonopoly regime that has allowed two-thirds of active satellites orbiting Earth to be under Musk's control; and campaign-finance laws that created the conditions for Musk to spend nearly \$300 million backing Trump and other Republican candidates in the 2024 election.

Only government-backed structural reform can turn the tide. While Musk's power undoubtedly requires our collective attention, especially given his obsession with race and boosting of far-right figures, the problem of oligarchy is bigger than him. We are living in a dystopian age of obscene concentration of wealth and power, with a handful of companies controlling frontier technologies like AI, and industrial giants in the oil and gas, defense, and finance sectors raking in record profits from seemingly endless war.

The US can draw on the country's long history of grappling with extreme inequality and defending democracy. The late-19th-century Gilded Age led to the creation of the income tax. The Social Security program, the minimum wage, and top income tax rates of 94% were established in the wake of the Great Depression and World War II. In the decades that followed, the government nurtured the middle class and reined in monopolies.

But it would be a mistake to focus only on reforms in America. Wealth inequality must be addressed everywhere. In 2026, some governments are showing that action is possible, from implementing wealth taxes to pursuing universal health care, bringing down prices, and strengthening workers' rights. It is an example that others should follow.

Following the minting of the world's first government-backed trillionaire, the importance of rethinking our pro-oligarchy international economic order cannot be underestimated. While global debates often center on great-power conflicts, the much bigger problem is that the multilateral rules governing international cooperation—on trade, intellectual property, taxation, and debt—have in recent decades been wired in favor of the wealthy, to the detriment of working people around the world. The Trump administration's role in rupturing the US-built multilateral system should motivate other countries to forge new forms of cooperation.

Nearly a century ago, US Supreme Court Justice Louis D. Brandeis warned that America must choose between extreme wealth concentration and democracy. His warning has gained new and acute relevance for everyone. Musk is proof of that.

11. Cities Show How Climate Action Makes Life Better

Author: Michael R. Bloomberg

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NEW YORK/BRUSSELS—In the global fight against climate change, there has been no shortage of targets and commitments. But people ultimately judge progress by what they experience in their daily lives. And nowhere is the impact of climate action more tangible than in the world's cities.

Mayors understand that the same measures that reduce greenhouse-gas (GHG) emissions and strengthen climate resilience also improve people's daily lives. Energy-efficient homes lower the families' bills. Increased access to renewables reduces dependence on imported fossil fuels and vulnerability to spikes in oil and gas prices. Better public transport and safer cycling infrastructure give people more affordable and healthier ways to move around their communities. Trees and green spaces improve air quality, cool neighborhoods, and make cities more pleasant places to live.

But climate action is also about protecting people from the already tangible effects of a warming planet. Heat waves, floods, droughts, and extreme-weather events are becoming more frequent and intense. Cities and their residents are increasingly on the front line of these challenges. That is why confronting climate change requires pursuing adaptation alongside mitigation.

Around the world, local leaders are adapting schools, hospitals, nursing homes, and public spaces to protect citizens from excessive heat and other climate risks. Shading systems, green roofs, and natural cooling solutions can significantly enhance cities' resilience to rising temperatures, with children, older people, and other vulnerable residents often benefiting the most.

A combination of adaptation measures and energy efficiency can save lives, improve well-being, and reduce energy costs. These green investments also attract talent, innovation, and private investment, making climate action an economic opportunity.

Mayors have been putting these principles into practice for years. As a result, GHG emissions have fallen in many of the world's largest cities, even as their populations have continued to grow. Moreover, cities of all sizes and regions are working together to accelerate the progress they have made individually.

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Over the past decade, the Global Covenant of Mayors for Climate & Energy (GCoM) has grown into an alliance of more than 14,000 cities and local governments across 150 countries, representing over one billion people. Many member cities have adopted climate goals that are more ambitious than their national governments'—and are on track to achieve them more quickly.

Yet cities could move faster and go further with increased support. Specifically, they have a pressing need for technical expertise and access to finance. Many local authorities still lack the resources required to identify, develop, and implement climate projects at the necessary scale.

Partnerships can help address these needs. The City Climate Finance Gap Fund, supported by GCoM and the World Bank, is already assisting cities in developing projects that can attract investment and deliver tangible benefits for their populations. Over the past few years, it has supported more than 1,400 cities in turning climate ambition into practical action.

Now, GCoM, C40 (a network of the world's biggest cities committed to addressing climate change), and the European Bank for Reconstruction and Development are building on that work with a new partnership to help cities scale up climate projects through technical and financial assistance. This initiative will focus largely on regions where the gap between ambition and available resources is widest.

National governments increasingly recognize the power of cities to drive progress on climate change. While promising, it should be only the beginning. Mayors and city leaders understand better than anyone that the most successful climate policies are those that people can see and feel in their everyday lives: cleaner air, safer streets, lower energy bills, healthier homes, and better protection against extreme weather.

With the right support, cities can continue to protect people, strengthen resilience, and create the conditions for sustainable growth. Most importantly, cities can play a powerful leadership role by showing the world that climate action is not a burden, but an opportunity to build better lives and more vibrant communities for all.

12. The Tide Is Turning Against Russia

Author: Sergei Guriev

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LONDON—Russian President Vladimir Putin has had a tough few months. While the Ukraine war never unfolded according to plan, Putin believed, until recently, that time was on his side. Russia managed to increase its share of occupied Ukrainian territory in 2025—albeit only slightly, from 18.5% to 19.3%. More important, US President Donald Trump appeared eager to pressure Ukrainian President Volodymyr Zelensky into a “peace agreement” that handed even more Ukrainian territory to Russia.

But the picture is very different this year. Trump has been so preoccupied by the crisis in the Middle East that Ukraine has largely fallen off his radar, saying at the G7 summit this month that the US has “nothing to do” with a war that is “thousands of miles away.” And there is little reason to think that the Trump administration will be more inclined to help Putin secure a favorable outcome after the midterm congressional election in November.

At the same time, Russia’s military is no longer making progress on the battlefield. If anything, it is losing ground to Ukrainian forces. As of June 2026, Russia occupies 19.4% of Ukrainian territory—a negligibly higher share than in January, and lower than in May. Ukraine owes this shift to its breakthroughs in drone technology and massive increase in drone production, which have helped to stabilize the front line and neutralize Russia’s manpower advantage.

Ukraine’s drone superiority has also enabled it to overcome Russia’s air defenses and strike deep into Russian territory, including Moscow and Saint Petersburg. The strikes, especially on energy infrastructure, have delivered a powerful message to Russians: this war can no longer be dismissed as some distant drama. It is coming to the heart of Russia.

The Kremlin is shaken. That much was apparent at last month’s Victory Day parade in Moscow, which was much smaller than usual and lacked the typical ostentatious displays of heavy military hardware. Russia’s leaders surely fear targeted attacks, including on personnel, especially after watching the United States and Israel assassinate Iran’s leaders in their own country.

Desperate to impede Ukraine’s drone capabilities, Putin has interrupted access to mobile internet across Russia, including in Moscow, fueling popular frustration. But the attacks continue, including on supply lines to Crimea, a crucial staging ground for Russian forces. While there is a chance that Russia could develop drone capabilities on par with Ukraine or strengthen its air defense in the coming weeks and months, time no longer appears to be on Putin’s side.

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This is all the more true, because the bills are piling up. To be sure, the Iran war briefly improved Russia’s fiscal outlook. According to Russia’s government, buyers were paying \$95 per barrel for Russian oil in April and \$86 in May—double the average of the first two months of 2026 (\$43) and much higher than the price assumed in the Russian government budget (\$59). Citing higher oil prices, the International Monetary Fund in April raised its forecast for Russia’s 2026 GDP growth by 0.3%, bringing it to 1.1%.

But this boost was only temporary, and it could not offset the war’s massive drain on Russia’s coffers. Putin has already been forced to raise taxes, compounding the pressure on Russia’s ailing economy. GDP declined by 0.2% year on year in

the first quarter of 2026. With Russia planning austerity measures, its economic performance is set to deteriorate further. Russia's own government expects GDP to grow by only 0.4% this year. This will hardly improve morale.

Against this backdrop, it would be in Putin's best interest to return to the negotiating table, in an effort to freeze the conflict. But there is no guarantee that he will, not least because he might not fully grasp the situation Russia is in. After all, the country has no independent press, and Putin's advisers surely avoid delivering bad news to him. When Putin insists that Ukraine is on the brink of defeat—as he has done many times since the war began—he is probably trying to manipulate the public, but he might also believe it, at least partly.

This is the classic autocrats' trap. When power is centralized, and dissent is stifled, the gap between the dictator's perception of reality and the situation on the ground widens. This leads to unpredictable and often disastrous decisions—like sustaining a war that you can neither win nor afford.

13. The Right Way to Tackle Developing Countries' Cancer Crisis

Author: Thompson Ayodele

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LAGOS—In Nigeria, a cancer diagnosis is often a death sentence. Nearly 130,000 Nigerians receive one each year, and nearly 80,000 die of the disease. An average of 33 women per day in Nigeria are infected with cervical cancer, and 22 women per day die from it. The problem is not that interventions do not exist, but that Nigerians—and developing-economy patients more broadly—lack access to them.

Breakthroughs in cancer treatment, especially immunotherapy, have drastically reduced the disease's mortality in recent decades. A mere generation ago, the idea that the immune system could be trained to fight cancer sounded like science fiction. Today, it represents the most promising front in cancer research, with more than 30 immunotherapies, treating 25 different forms of cancer, now approved by the US Food and Drug Administration.

The results speak for themselves. Patients with advanced melanoma were once expected to survive a mere 16 weeks. But, thanks to immunotherapy, they now have a one in three chance of living a decade or longer. Likewise, for some lung cancer patients, prognoses that were once measured in months are now measured in years.

But Nigerian patients rarely have access to immunotherapies or other innovative treatments. Even at major hospitals in Lagos and Abuja, doctors routinely find themselves unable to prescribe what they know could help their patients. So, while cancer patients in rich countries live longer than ever, Nigerians—like patients in many developing countries—continue to die.

Some believe that the best way to close this gap is to weaken intellectual-property protections for medical innovations and force drugmakers to give away their treatments at little or no cost. They argue that patent rules and high prices create unfair barriers to health care. But this well-intentioned argument overlooks an inescapable reality: without strong incentives for innovation, advanced treatments like immunotherapy would not exist at all.

The development of new cancer therapies requires immense investment and carries staggering risk. Since most new prospective drugs never succeed, the few that do must make up for the costs of the failures. Nigeria, like many developing countries, does not yet have the economic or scientific infrastructure required to develop its own cancer breakthroughs at scale, so it remains dependent on discoveries made in countries like the United States. If we dismantle the system that rewards their innovative activities in the name of faster access, progress will slow, and future patients in rich and poor countries alike will suffer as a result.

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Patents expire, and when they do, low-cost generic versions emerge. In the meantime, several pharmaceutical companies and NGOs have launched initiatives designed to expand access to medicines in developing countries. The system might not be perfect, but at least it allows the breakthroughs to keep coming.

In any case, the biggest barriers to access to accurate cancer diagnosis and effective treatment in developing countries are not patents at all, but regulatory delays, weak health-care infrastructure, and poverty. Instead of attempting to dismantle

incentives for innovation, governments should work on reducing bureaucratic red tape, speeding up approvals for imported medicines, and expanding health-care infrastructure and capacity, which is in particularly short supply in rural areas.

Policymakers should also take action to improve overall living standards. Expanding trade and liberalizing markets are among the most effective ways for developing countries to boost economic growth and dynamism. Faster growth, in turn, would enable higher investment in infrastructure and health care, while creating job opportunities that increase household incomes.

When lifesaving medicines are out of reach, calls for quick solutions are understandable. But a short-sighted approach risks turning today's tragedy into tomorrow's catastrophe. Weakening the incentives that underpin medical innovation will slow the pace of progress. And it is progress that is essential to prevent a cancer diagnosis from becoming a death sentence.

14. Why Americans Are Wary of AI

Author: Ngaire Woods

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OXFORD—Most Americans are skeptical and fearful of AI, with public concern rising even faster than chatbot adoption. According to the Pew Research Center, 37% of Americans were more concerned than excited about AI in 2021; by 2023, that figure had risen to 52%. Today, more US adults believe AI will have a negative rather than a positive impact on their own lives and on society.

For companies betting hundreds of billions of dollars on AI, this is not merely a public-relations problem. Despite their eye-popping valuations, OpenAI and Anthropic remain cash-flow negative. To justify those valuations—close to \$1 trillion—they will need to expand their user bases, increase revenues, persuade businesses and government agencies to adopt their products, and secure permits for the data centers required to scale them. As AI becomes more integrated into the economy and everyday life, public attitudes will become increasingly important.

The policy implications could be far-reaching. High levels of distrust tend to generate demands for more restrictive regulation, as banks discovered in the aftermath of the 2008 global financial crisis. And when a crisis erupts, public distrust can derail an entire technology. Following the 2011 Fukushima nuclear disaster, for example, widespread public opposition led the German government to shut down all of the country's nuclear power plants.

What causes the public to lose trust? Other technologies provide some clues. Biotechnology enjoyed high levels of public confidence in the early 1990s. By the end of the decade, however, European countries were considering bans on genetically modified organisms (GMOs). In the United States, the share of people who believed genetically modified foods were safe fell to 37% by 2014 and to just 27% by 2020. This shift occurred despite overwhelming scientific consensus—roughly 88% of scientists surveyed by the American Association for the Advancement of Science regarded GM foods as safe.

Vaccines offer another example. In the 1990s, public trust in vaccination was extremely high. Yet by 2024, only 40% of Americans considered vaccination “extremely important,” down from 64% in 2001.

Trust is not simply a function of public knowledge or scientific literacy. Most people, after all, cannot evaluate trial methodology or epidemiological evidence. Instead, public trust depends on whether people believe a technology is safe, benefits society, and is being managed responsibly, as well as on their confidence in the institutions that develop, market, and regulate it.

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The decline in vaccine confidence was driven less by new scientific evidence than by declining trust in institutions, information sources, and governance. Many vaccine skeptics believe that pharmaceutical companies prioritize profits over safety, that regulators are captured by industry interests, and that adverse effects are not disclosed honestly.

Similar concerns are now emerging around AI. Most people do not understand how large language models (LLMs) work and cannot assess safety claims about machine learning. But they worry that AI will eliminate jobs, that it will be used for

government surveillance or criminal activity, and that its benefits will accrue disproportionately to powerful actors, leaving ordinary citizens with little say over how it is developed or deployed.

These concerns are not unfounded. The promise of greater efficiency—and therefore workforce reductions—lies at the heart of many commercial arguments for AI adoption. And even as tech companies are being sued by bereaved parents who claim that their products contributed to their children's deaths, tech titans are accumulating unprecedented wealth and influence, enabling them to buy up competitors and media outlets, as well as the politicians and regulators charged with holding them accountable.

The tech sector may soon discover that trust in government is crucial to its own success. Studies have repeatedly shown that public attitudes toward AI are closely linked to confidence that governments, employers, and tech companies will deploy and regulate it responsibly. Citizens who trust governing institutions are generally more willing to defer to expert judgment, comply with public-health guidance, and accept regulatory decisions.

That helps explain why attitudes toward AI are often more positive outside the US. While Americans remain deeply skeptical of AI, countries like South Korea, India, Nigeria, and Sweden are far more excited about its potential. According to the 2026 Edelman Trust Barometer, at least half of respondents in each of these countries agreed with the statement, "I trust the government to do what is right." Among US respondents, only 39% expressed the same level of confidence.

When citizens lose trust in government, they often turn for guidance to groups with which they most closely identify. This dynamic was particularly visible during and after the COVID-19 pandemic, as attitudes toward vaccines came to reflect partisan affiliations, cultural identities, and views on authority, elite institutions, regulation, and corporate power. Such divisions create a difficult environment for businesses, forcing companies into zero-sum contests in which winning the trust of one group may mean alienating another.

The alternative is to strengthen the institutions capable of generating broad-based public trust. Rather than simply calling for governments to regulate, thereby shifting blame if something goes wrong, tech companies should help policymakers design and implement effective regulatory frameworks. But some tech companies have instead sought to undermine those very institutions. Strategically, this may prove to be an own goal.

Consider the dismantling of the Internal Revenue Service's Direct File system, which allowed Americans to file their taxes online at no cost, by President Donald Trump's Department of Government Efficiency (DOGE). In an era of deepening political polarization, frustration with the complexity of the US tax system is one of the few issues that unites Republicans and Democrats. But by siding with private tax-preparation companies that lobbied to protect their lucrative market position, DOGE advocates—particularly its former head, Elon Musk—took a small yet tangible step toward making government less trustworthy.

Now, many of the same individuals—including Musk—are asking Americans to embrace AI. They may discover that by undermining trust in government, they have made Americans considerably more resistant.

15. Enforce AI Guardrails Before It's Too Late

Author: Gabriela Ramos

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PARIS—The emergence of generative AI less than four years ago has already triggered a series of “Sputnik” moments. Just as the Soviet Union’s launch of the first artificial satellite into orbit in 1957 jolted the United States into upgrading its space program, the November 2022 release of ChatGPT, a large language model displaying an unprecedented level of complexity, triggered admiration and fear around the world. Other tech firms raced to develop similar tools, even as experts, including AI pioneers Yoshua Bengio and Geoffrey Hinton, warned that the technology could pose a “risk of extinction.”

The next Sputnik moment came in January 2025, with the release of DeepSeek-R1, a frontier model developed by a Chinese startup at a fraction of the compute cost of the US systems it rivaled. This challenged the assumption that the US held an unassailable technological lead—and the belief that controlling access to chips would slow the competition.

But perhaps the most troubling Sputnik moment was the arrival of Anthropic’s Mythos model in April. Capable of identifying vulnerabilities in financial systems, payment networks, and other critical infrastructure, Mythos seemed to mark a qualitative shift in what AI models can do. It brings AI closer to “superintelligence”: self-learning features appear to be within reach, and with them, the limits of human control. The fact that Anthropic, rather than a governmental body, made the decision to pursue a controlled rollout (only recently, after its public release, did the US take action) underscores the glaring absence of AI governance.

The consequences could be dire. Consider EternalBlue, a software exploit developed by the US National Security Agency. Soon after it leaked in 2017, hackers used it to power the WannaCry ransomware attack on the United Kingdom’s National Health Service, forcing the cancellation of nearly 7,000 appointments. EternalBlue was also behind the NotPetya cyberattack on the global shipping giant Maersk, which caused an estimated \$10 billion in damage. If that was the fallout from one leaked vulnerability, imagine what would happen if Mythos, which has already found more than 10,000 vulnerabilities, fell into the wrong hands.

The governmental response to these developments has been woefully insufficient. To be sure, international bodies have sought to guide the responsible use of AI. There has been UNESCO’s Recommendation on the Ethics of Artificial Intelligence, the Council of Europe Framework Convention on Artificial Intelligence and Human Rights, the OECD AI Principles, and the United Nations’ Global Digital Compact. These efforts, to which we contributed, recognize that there is no value in innovation that is not aligned with human rights and dignity.

So far, though, the European Union is the only jurisdiction that has turned that lesson into law, with the 2024 AI Act. But implementation is already off track. The Code of Practice, intended to help tech firms comply with the AI Act (including specific commitments for providers of models with systemic risk), is voluntary. Moreover, the Digital Omnibus has delayed the application of binding obligations for high-risk standalone systems from August 2026 to December 2027.

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The AI safety summits convened by the United Kingdom, France, and India have delivered useful outcomes, particularly the establishment of safety institutes that are mandated to work together in a global network. Moreover, President Joe

Biden's 2023 executive order introduced sensible policies to ensure safety and security within AI systems. But these efforts suffered a serious setback with the arrival of the Trump administration, which revoked the executive order and doubled down on the very incentives—profit-seeking and the scramble for geopolitical advantage—that have fueled the AI race from the outset.

The arrival of Mythos has highlighted the administration's incoherent and shifting approach. In June, Trump signed an executive order to expand federal oversight of frontier models—a sensible step. But compliance with the pre-release framework, which calls for collaboration between agencies and developers on cybersecurity testing, is voluntary.

A few weeks later, the Department of Commerce imposed export controls on Anthropic's latest models without clear evidence or consultation. The move was presented as a national security measure, limiting democratic oversight, alienating partners, and boosting the appeal of open-source models—a gift to China. Moreover, the government has failed to explain why Anthropic's models, but not OpenAI's equally powerful ones, were targeted, inviting scrutiny as these companies line up to launch IPOs.

In all these episodes, what is striking is the lack of forward thinking. Instead of preparing for future shocks, policymakers are scrambling to respond to the last one. But frontier models' self-learning capabilities suggest that further breakthroughs will not be gradual; instead, they will most likely arrive suddenly and have compounding effects, leaving less time to adjust than before. The voluntary frameworks, industry self-assessments, and summits that produce declarations rather than binding commitments have not prepared us for what is coming.

The original Sputnik moment triggered a genuine reorientation of priorities, institutions, and resources. The US government created NASA, increased public investment in science and technology, and 11 years later put a man on the moon.

Of course, today's geopolitical conditions look nothing like the Cold War. But policymakers must heed the lessons of these AI developments, each more powerful than the last. To ensure that AI models—especially those that seem poised to upend labor markets and transform health and education systems—align with societal values, governments must foster democratic debate and establish meaningful guardrails. Anything less courts disaster.

16. Water Makes the World Go Round

Author: Esther Crauser-Delbourg

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PARIS—The past few months have offered a stark reminder of the importance—and precariousness—of water supplies. The Gulf Cooperation Council countries, which together supply roughly 62 million people with drinking water drawn almost entirely from the sea, have had their desalination plants targeted by drones and missiles, as part of a geopolitical conflict they did not create.

Meanwhile, in Central America, insufficient rainfall has been lowering water levels in the Panama Canal for years, creating tension between local need for fresh water and demand for transit through a vital shipping artery. This is the same crisis seen from opposite ends: in Panama, a shortage of fresh water chokes maritime trade, and in the Gulf, a maritime conflict reduces drinking water. Water is, in the strictest sense, a security issue—but the world has yet to govern it as one.

The consequences of inadequate water management are far-reaching. Diseases related to unsafe water and sanitation represent a major public-health risk and a leading cause of death among children under five globally. Moreover, water is a vital agricultural and industrial input: around 90% of global freshwater withdrawals support economic activity, with the remaining 10% going to households.

Then there are the economic costs of water-related natural disasters, which are growing more severe and frequent due to climate change. Droughts cost the world an estimated \$307 billion annually, representing 15% of all disaster-related economic losses. Floods caused \$651 billion in damages in 2000–19. Meanwhile, water pollution continues to erode economic growth across entire regions. In 2016, the World Bank projected that the most vulnerable regions' growth rates could decline by as much as 6% of GDP by 2050 as a result of water-related losses.

Water's role in global trade is crucial as well, with around 80% of the world's merchandise trade by volume traveling by sea. The world's most important chokepoints—the Strait of Hormuz, the Panama Canal, and the Suez Canal—have all been disrupted in recent years. In 2023, prolonged drought forced Panama to begin rationing access to its waterway. Daily transit dropped by roughly one-third by early 2024, and shipping rates spiked across the Pacific. While this year's closure of the Strait of Hormuz was not triggered by a water-related disruption, it reinforces the message that water is an essential strategic variable in global logistics.

Water-related risks continue to rise. United Nations researchers now warn that many regions are approaching “water bankruptcy”: when water systems can no longer realistically return to their historical baselines, owing to depletion, pollution, and damage to water-related natural capital like wetlands. Moreover, the Carbon Disclosure Project estimates that companies already face hundreds of billions of dollars in water-related risks—most of which could be mitigated at a fraction of the potential cost.

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The good news is that water resilience is not a technological mystery. The solutions are known: better infrastructure, better planning, and better governance. And they are highly cost-effective: every dollar invested in water and sanitation

infrastructure, for example, generates some \$4–12 in economic returns through avoided health costs and higher productivity.

What has been missing is the strategic attention to deploying these solutions at scale. Part of the problem is visibility. Economists have long observed that resources are managed most effectively when their value is visible. Yet, unlike energy and emissions, water use is only beginning to be measured and disclosed.

This helps to explain why, despite growing scarcity, water continues to be priced as if it were abundant. In France, the same resource costs anywhere from €0.02 (\$0.023) per cubic meter for irrigation to roughly €4 for treated household water—a 200-fold spread that bears no relation to scarcity or economic value. It also explains why water is only starting to shape investment decisions, risk assessments, and corporate strategies, as well as economic policy and political decision-making.

This lag can also be seen at the global level. At the G8 summit in Évian in 2003, leaders warned of the economic and geopolitical consequences of water insecurity. Yet, 23 years later, water is one of the few strategic resources without a Bretton Woods of its own, relying instead on a patchwork of agreements and institutions. With roughly one-fifth of global water consumption embedded in goods consumed outside the country where they are produced, this amounts to a major blind spot. Research on the globalization of virtual water flows has shown that when water is properly accounted for as a factor of production, the classical patterns of comparative advantage that organize global trade no longer hold: water-scarce countries export water-intensive goods to water-abundant ones, subsidized by an unpriced and dwindling input.

World Trade Organization rules are already being adapted to account for carbon intensity, so one might hope that water intensity is next. But such action depends on a commitment to translating a long-standing awareness of water-related risks into institutions, incentives, and investment decisions that match the scale of dependence.

Abundant and predictable water supplies supported economic growth, industrialization, and global trade for over two centuries. But the days when water could be taken for granted are over. Water is a strategic asset in its own right, and we must treat it with the same seriousness as we do with energy, trade, and finance.

The question now is how quickly governments, businesses, investors, and institutions can integrate this understanding into the decisions they make every day. The countries and companies that excel over the next two decades will be those that treat water as the precious resource it is.

17. How to Empower Africa's Multilateral Development Banks

Author: Hippolyte Fofack

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WASHINGTON, DC—Boosting the capital base of multilateral development banks (MDBs) in Africa has been a perennial problem. Finding a solution—which has taken on new urgency as international development institutions continue to scale down concessional financing—requires examining the underlying causes.

For starters, the structural asymmetries embedded in the global financial system have resulted in capital flows from low-income African countries to rich countries, a pattern known as the Lucas Paradox. African countries have allocated their hard-earned foreign reserves and institutional savings to low-yield securities outside the continent, while confronting exceedingly high borrowing costs on international markets.

Credit-ratings agencies such as Moody's, Fitch, and S&P exacerbate this dynamic by assigning most African countries sub-investment-grade scores, despite their relatively low default rates. These sovereign ceilings obstruct African MDBs' access to affordable long-term capital and restrict their capacity to leverage the continent's expanding pool of domestic savings.

Compounding the challenge is Africa's fragmented monetary and financial landscape, which constrains African MDBs' ability to mobilize capital at scale. Compare the African Export-Import Bank and the Export-Import Bank of China, both of which were established in the early 1990s as policy banks with a mandate to foster trade and international cooperation. But at about \$8.4 billion, Afreximbank's capital base remains significantly smaller than China Eximbank's \$22 billion. More broadly, the assets of three Chinese policy banks account for more than 26% of Chinese GDP, whereas African MDBs' assets total just 2–4% of the continent's GDP.

This is why, to meet its development needs, Africa should leverage the more than \$4 trillion held by the continent's pension funds, mutual funds, insurers, commercial banks, sovereign wealth funds, and central-bank reserves to strengthen regional MDBs. The African Development Bank estimates that, with the necessary reforms, the continent could mobilize an additional \$1.43 trillion from domestic sources. At the same time, it will also be necessary to pursue monetary and capital-market integration, use innovative financing mechanisms, and forge stronger partnerships.

This strategy rests on five pillars. The first is periodic capital increases from shareholders to bolster MDBs' lending capacity. African governments (many of which remain undercapitalized), major private-sector firms, and non-regional partners should regularly increase their paid-in and callable capital contributions to African MDBs. Wealthier African economies and strategic international partners are well-positioned to lead these efforts.

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Second, instead of investing domestic savings abroad or holding them in low-return assets, African countries should emulate Ghana, which allocates 5% of its state pension fund to local private equity and venture capital, and has signed new frameworks to channel retirement savings into infrastructure and small-enterprise investment vehicles. Similar reforms in other countries would unlock more patient capital for development.

Third, African MDBs should expand their use of hybrid capital instruments, blended finance, guarantees, and securitization structures to crowd in private capital. Green bonds and climate-linked instruments are particularly promising, as are diaspora bonds, which could mobilize patriotic capital while providing secure, long-term investment opportunities.

The fourth pillar is to increase tax collection, especially by curbing illicit financial flows and tax evasion and avoidance by multinational corporations, which cost Africa billions of dollars each year. Strengthening tax administration and improving digital revenue systems would help retain more African wealth within the continent's financial system.

The last pillar is deepening monetary integration and strengthening regional capital markets. This would do much to mobilize domestic savings, decrease transaction costs, and plug financial leakages. Projections for Afreximbank's Pan-African Payment and Settlement System indicate that the region could save more than \$5 billion annually by implementing an integrated payment and regional settlement mechanism.

Better-capitalized African MDBs would yield benefits that are difficult to overstate. They would help fast-track the implementation of the African Continental Free Trade Area, driving the development of regional value chains, deepening integration, and boosting industrialization. This transformation is necessary for African economies to move from exports of basic raw materials to higher-value processing and innovation. It would also generate organic growth for MDBs' balance sheets.

With the better credit ratings implied by improved capitalization, African MDBs could more easily access international capital markets, enabling them to act as both "project-taking" and "project-making" organizations. In their new role as proactive first-movers, they could crowd in significantly larger pools of private and institutional capital for projects that individual states cannot fund alone.

Ultimately, African MDBs are a strategic investment in the continent's economic development. Failure to capitalize them risks leaving Africa trapped in a debilitating cycle of dependency and vulnerability to external shocks. With stronger MDBs, Africa would be better positioned to industrialize at scale, increase its participation in global value chains, and emerge as a major driver of global growth in the 21st century.